EA Hospitality
Pulse

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Sunday Foresight

5–11 October 2026

THIS WEEK

A Kenya–Tanzania safari now carries two US$44 insurance charges, and every government that added a cost this week added it at the border

Plus 7 Big Reads and the forecast ledger

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THE SUNDAY FORESIGHT

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EA Hospitality Pulse · Sunday Foresight · Sun 11 Oct 2026

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Every figure in this issue traces to a named, dated source. Claims are graded Confirmed, Reported or Early signal. Corrections are published, not quietly edited.

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THE SUNDAY FORESIGHT · 11 OCTOBER 2026

A Kenya–Tanzania safari now carries two US$44 insurance charges, and every government that added a cost this week added it at the border

The seams between destinations changed this week. Kenya's High Court upheld its US$44 visitor insurance on 7 October; Tanzania's mainland charge has applied since 1 October. A guest flying Nairobi to Kilimanjaro pays twice: US$88 a head (our arithmetic; some are exempt).

> **WHAT EVERYONE IS MISSING**
>
> : these are filed as separate stories. Together they show governments pricing and policing the crossing, not the destination. A twin-centre trip has the most crossings per sale, and the guest's decision to keep it is set by the most awkward border, not by your lodge. Your terms cover one leg; the risk covers all. (Our inference; we cannot size it.)

THE WEEK'S SIGNALS

1 TWO INSURANCE CHARGES NOW SIT ON ONE ITINERARY

Justice Olel (High Court, Marsabit) held Gazette Notice 11492 valid on 7 Oct (Eastleigh Voice, 7 Oct); FCDO says eTA applicants must buy cover from 5 Oct. Tanzania mainland has required it since 1 Oct (GN 256).

So what — show each border's charge as its own quote line and say who buys the policy.

City, Bush, Beach · KE TZ · Confirmed (rules) / Inference (arithmetic) · impact:margin

2 THE LOW-COST LINKS MOVED OPPOSITE WAYS, AND ONE CARRIED THE VIRUS

Jambojet began daily Nairobi–Entebbe on 1 Oct (AeroRoutes, 24 Jul). The patient flew it on 3 Oct (Health Ministry, 7 Oct). It stopped Mombasa–Zanzibar, citing fuel and the insurance (Business Daily, 29 Sep; dates conflict with AeroRoutes).

So what — sell Nairobi–Kampala date-flexible; price Mombasa–Zanzibar with a connection.

City, Bush, Beach · KE UG TZ · Reported · impact:risk

3 SCREENING NOW DIFFERS AT THE SEAM

The patient passed temperature checks at Entebbe and Nairobi; Kenya added a JKIA gate for Congo-linked arrivals (Reuters, 7 Oct). Tanzania lifted extra screening for Uganda arrivals (ATTA citing FCDO, 1 Oct; page not opened). WHO advised against closing borders (7 Oct).

So what — give circuit clients each border's checks, dated.

Bush, City · KE UG TZ · Confirmed (statements) / Inference (divergence) · impact:risk

4 THE OVERLAND LEG IS GETTING DEARER

Tanzania's September inflation was 4.3%, transport 14.0% (NBS, 8 Oct). EWURA raised October caps 5–10% (Daily News, 8 Oct). Kenya's oil workers served a strike notice (Kenyans.co.ke, 10 Oct).

So what — re-cost road transfers at October caps; hold diesel through 14 Oct.

Bush, City, Beach · TZ KE · Confirmed (figures) / Reported (strike) · impact:margin

5 TWO DEMAND GATES ARE OPEN

The US entry order on DRC, Uganda and South Sudan lapses today; no renewal in the Federal Register listing (10 Oct). Kenya's Public Health PS suspended government meetings in hotels from 7 Oct (Kenyans.co.ke, 10 Oct).

So what — keep Bwindi US offers date-flexible; get any government block in writing.

Bush, City · UG KE · Reported · impact:demand

Blind spots: Germany's and France's Kenya advice not found after two scans; Canada's text unread; FCDO, CDC, WHO read via press.

30/90-DAY DEMAND CALENDAR

US 11 Oct — US order lapses. Keep Uganda rates flexible.

KE 13 Oct — fuel-VAT bill comments close.

KE 14 Oct — EPRA review. Re-cost transfers.

TZ 30 Nov — Ethiopian Addis–Kilimanjaro–Zanzibar to 7 weekly (AeroRoutes).

If a border rule changes tomorrow, which leg of your guest's trip pays for it?



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 1 OF 7 · 5 OCTOBER 2026

The world's biggest travel market is going farther and paying less. East Africa built the opposite product.

Chinese travellers booked more than 1.28 million international flights for this Golden Week, trips now run past nine days, and more than half of those travellers will sleep in rooms costing under $149 a night. Kenya says it wants a million of them. In the Mara, since July, the gate alone costs $200 a day.

On Monday week, a China Southern Boeing 787-9 is scheduled to push back from Guangzhou Baiyun, call at Changsha, and land at Addis Ababa's Bole airport. It will do so twice a week thereafter. For a carrier that has flown to Africa for years, the 12 October launch is a modest piece of network housekeeping: a second African destination, two frequencies, one aircraft type. For East Africa it is the clearest signal yet of something the region has been waiting on since the borders reopened. The seats from China are arriving.

What they are supposed to carry is the question nobody in the region has answered.

This week, while that aircraft was still being slotted into October rosters, the market it serves was having its biggest moment of the year. China's National Day holiday, extended this year by an overlapping Mid-Autumn Festival into a stretch running from 25 September to 7 October, generated more than 1.28 million international flight bookings, up around 11 per cent on last year, according to analysis published by the consultancy China Trading Desk in early September. Trip.com Group, reporting its own booking data on 20 September, found multi-destination itineraries up 84 per cent year on year and hotel stays of seven nights or more up 123 per cent. The average Chinese outbound trip now runs past nine days.

Where those nine days are being spent is instructive. Trip.com's rising international destinations were Seoul, Busan, Jeju, Bali, Cebu, Phuket, Brussels and Athens. Seoul flight bookings rose 91 per cent, Cebu 111 per cent, Phuket 78 per cent. Among travellers aged 18 to 24, bookings to Queenstown were up 314 per cent and to Auckland 276 per cent. China Trading Desk's own destination ranking ran Bangkok, Tokyo, Osaka, Ho Chi Minh City, Jeju, Phnom Penh, Manila, Paris, Sydney, Milan.

No African city appears on either list.

That absence would be easy to read as a marketing problem, and East African tourism boards have been reading it that way for three years. The more uncomfortable reading is that it is a product problem, and the evidence for it sits in the same datasets.

A survey of 1,010 mainland Chinese travellers published by Dragon Trail Research on 23 September found that only 5 per cent of outbound travellers were looking for luxury hotels. More than half intended to book rooms under RMB 1,000 a night, roughly $149. Just over a third were in the RMB 500 to RMB 1,000 band, and a fifth below RMB 500. The most common total trip budget was RMB 10,000 to RMB 20,000, around $1,490 to $2,980 for the whole nine days.

Set that against what East Africa sells. Since 1 July, the peak-season conservation fee at the Masai Mara National Reserve has been $200 per non-resident adult per day, doubled by Narok County from $100. That is the gate, before a bed, a vehicle, a guide or a meal. The private conservancies that ring the reserve, Naboisho, Olare Motorogi, Mara North, fold their access fees into nightly rates that commonly start north of $650 per person.

The arithmetic is not subtle. A traveller with a total trip budget of RMB 15,000 cannot buy two nights in a Mara conservancy and still get home. The modal Chinese outbound traveller of 2026 could spend their entire accommodation budget for a nine-day trip on a single night in the product East Africa has spent a decade building and defending.

This is not an argument that the Chinese market is poor. China Trading Desk forecasts 179.3 million Chinese outbound trips in 2026 and around $257.6 billion of destination spending, an average of roughly $1,437 a trip, and has lifted its wider 2026 Chinese travel spending forecast to $295.9 billion. Twenty-two per cent of Dragon Trail's respondents budgeted above RMB 30,000, something over $4,470. Twenty-two per cent of a market this size is a very large number of people who can afford a conservancy.

It is an argument that East Africa has only one shelf, and it is stocked for the 22 per cent.

"The question is no longer whether demand is returning," Subramania Bhatt, founder and chief executive of China Trading Desk, has said of the 2026 outbound market. "It is who captures the spend." His second observation is the one that should worry Nairobi, Arusha and Kigali: "In 2026, the strongest opportunities will be in markets that are easy to reach, relevant for shopping, and visible to Chinese travellers before the trip is booked."

Easy to reach is where East Africa has made real progress and still loses. Aviation Week reported in July that two-way origin and destination traffic between China and Africa reached 2.93 million passengers in 2025, up 36 per cent from 2.15 million in 2024. Only about 525,000 of those, 17.9 per cent, flew nonstop. More than four in five Chinese travellers to Africa still connect, overwhelmingly through Gulf hubs, which means the itinerary is assembled by a carrier and an online agency with no particular interest in whether the African leg is three nights or none.

The nonstop picture is improving faster than the headline suggests. China Southern raised Guangzhou to Nairobi from four weekly to seven on 10 July, flying the 787-9, on top of three weekly via Changsha, and lifted its summer 2026 two-way African capacity by 51.5 per cent to around 159,000 seats. Across the whole market, nonstop China to Africa capacity for summer 2026 stood at 1.81 million seats over 22 airport pairs, with Guangzhou to Addis Ababa the single largest route. Ethiopian Airlines holds roughly 35 per cent of it.

Capacity, in other words, is not the binding constraint it was in 2023. Conversion is.

Visible before the trip is booked is the harder half of Bhatt's test, and it exposes a timing problem that has nothing to do with marketing spend. China Trading Desk found searches for this holiday period up 116 per cent by 24 August, with bookings made 30 or more days ahead rising 20 per cent year on year. That increase is treated in the Chinese market as a notable lengthening of lead time. East African safari inventory is sold on a different clock

entirely, typically six months out and through a European or North American operator. A destination whose distribution is built to be shortlisted in April is structurally invisible to a traveller who starts searching in August and books in September, however good the campaign.

The comparison that should sting is the Gulf. Dragon Trail published a dedicated white paper on Chinese tourism to the Middle East and North Africa on 14 September, and a separate briefing on Chinese demand across the GCC nine days later. That is the research cadence of destinations treating China as a segment with its own economics. East Africa, for all the ministerial language about friendship and exchange, is still largely working from the assumption that the Chinese visitor is the European visitor with different signage.

There is also a demand base sitting unexploited. More than 60,000 Chinese nationals live in Kenya. They are resident, they are already inside the market, and they are the obvious first buyers of a domestic-priced weekend product, the people most likely to host visiting family, and the cheapest possible channel into Chinese social platforms. Almost nothing in the region's published China strategy addresses them.

Kenya has been explicit about its ambition. Chinese arrivals reached 105,000 in 2025, up from more than 90,000 in 2024 and 84,000 before the pandemic. Speaking in February, Tourism principal secretary John Ololtuaa framed the target in the language the region tends to use about China: "With China's huge population, even if we can get just one million Chinese visitors to Kenya, it will be very exciting."

June Chepkemei, chief executive of the Kenya Tourism Board, put the continental context in an interview with Xinhua later the same month. "Overall, in the year 2024, we saw about four million Chinese visiting the continent, and Kenya received about 100,000 of them," she said, adding: "Kenya is an all-year-round destination, and we are always prepared to receive our friends from China."

Prepared is doing a lot of work in that sentence. The constraints most often listed by Kenyan analysts, air connectivity, visa process, Mandarin-capable staff and acceptance of Chinese digital payment rails, are real and widely acknowledged. They are also, every one of them, service-layer problems. Fixing all four would make an East African holiday easier to buy without making it cheaper to buy, and price is the variable this market has moved on.

The broader numbers show why that matters. Kenya recorded 2.76 million international arrivals in the 2025/26 financial year, up 9.8 per cent, with earnings of KSh564 billion against a target of KSh529 billion. "The sustained growth demonstrates growing global confidence in Kenya as a preferred travel destination, with international arrivals increasing steadily from 1.21 million in 2021/22 to 2.76 million in 2025/26, more than doubling over the five-year period," said Rebecca Miano, cabinet secretary for tourism and wildlife, in August. Average expenditure per international visitor rose to KSh204,298.

That is a strong year, and it was delivered by source markets that buy the existing product. The risk in reading it as validation is that it encourages the region to take the one million Chinese visitors target and multiply the current product by ten, when the market being targeted is moving in the other direction: longer, more fragmented, more self-assembled, and more price-sensitive on the bed than on the experience.

There is a version of this that works, and it starts by separating the two things East Africa currently sells as one.

A nine-day multi-destination itinerary that includes Kenya does not need nine nights of safari. It needs two or three, and six or seven nights of something else: Nairobi, the coast, Zanzibar, Kigali, a transit night either side. Those nights are currently sold either by international chains with no China distribution or by independents with no distribution at all. They are the nights a RMB 800 a night budget can actually absorb, and they are the nights that make the two expensive ones affordable.

That implies specific, unglamorous work. Publishing a room-only rate alongside the full-board one, so a lodge can appear in a comparison set at all. Contracting with the Chinese platforms where a nine-day multi-stop trip is assembled, rather than waiting for a European tour operator to carry the booking. Pricing the second and third night differently from the first. Treating the shoulder months, when the Mara gate drops back to $100, as the

Chinese season rather than the discount season.

None of that requires a Mandarin-speaking guide, though one helps. It requires accepting that the first Chinese guest through the door will probably not be the conservancy guest, and that the conservancy guest arrives later, on the second trip, having been sold the country on the first.

The 787 lands at Bole on Monday week. The capacity question has been answered for this cycle. The product question has not been asked.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 2 OF 7 · 6 OCTOBER 2026

East Africa sells twelve nights. Its own arrivals data says most visitors want three.

Hilton's 2027 trends report says travellers now want to pack more into less time. Kenya's own 2024 arrivals numbers say more than half its visitors already do. The product architecture, and the per-day price list behind it, was built for the other 44 per cent.

On 29 September, Hilton published its 2027 trends report: a survey of 14,744 people who intend to travel in the next twelve months, fielded by Morning Consult between 18 May and 1 June this year across fourteen countries. Not one of those countries is in Africa. An East African lodge owner could reasonably file the document under other people's problems, and most will.

They should read the fifth trend first. Hilton calls it the micro-travel mindset, and it carries two numbers that describe, with uncomfortable precision, the distance between what East Africa sells and what the people who buy it now say they want. Sixty-seven per cent of respondents said they like planning travel that packs a great deal into a short space of time. Sixty-three per cent said they would rather stay somewhere central, with the activities nearby. In the United States, Kenya's single largest source market, 88 per cent said a short trip is anything under three or four days.

East Africa's flagship product is the exact inverse of that sentence. It is long, it is dispersed, and it is built on movement. The classic circuit takes a guest from Nairobi to Amboseli to the Mara and then, if the budget stretches, to the coast, with a light aircraft or a long road transfer between each leg. Kenya's average length of stay was 12.1 days in 2024, up from 11.9 the year before, according to the state broadcaster KBC's reading of the Tourism Research Institute's annual report. Twelve nights is not a holiday pattern. It is a logistics operation, and it is sold at a premium precisely because it is hard to assemble.

There is a reason the industry keeps pushing that number up rather than down, and it is not stubbornness. It is arithmetic. Since 1 October 2025, under the Wildlife Conservation and Management fees regulations approved by Parliament the week before, Kenya Wildlife Service has charged non-resident adults on a four-tier tariff: 90 dollars a day at Amboseli and Lake Nakuru, 80 dollars at Tsavo East, Tsavo West and Nairobi National Park, 70

dollars at Mount Kenya, 50 dollars at Hell's Gate and Longonot. That tariff is still running through 2026 while a High Court challenge sits unresolved, with KWS advising visitors to keep paying the published rates. An annual pass costs 45,000 shillings for an individual and 130,000 for a family.

Those are daily charges, levied per head, before a guest has eaten anything or slept anywhere. Layer on the bush flight, the conservancy bed-night fee, the guide, the vehicle and the park gate at the next property, and the fixed cost of simply having a foreign visitor inside the product is high and front-loaded. The only way to make that cost disappear into an acceptable nightly rate is to spread it over more nights. A three-night safari does not look cheap on a rate sheet. It looks absurd, because the per-day gate fee and the transfer are being amortised across almost nothing. So the industry sells twelve nights, and tells itself the market wants twelve nights, when what the cost base wants is twelve nights and the market has not been asked lately.

It gets more awkward. Operators also pay a 5 per cent gateway fee on payments made through the upgraded KWS portal, disclosed only at the point of payment, with M-Pesa and Visa the permitted methods. The Kenya Tourism Federation, in a statement reported by Capital FM in November 2025, said the charges were "both inequitable and discriminatory as they charge different operators higher fees". The same report put the potential annual cost to the sector at more than 370 million shillings, projected against park revenues of 7.41 billion shillings in 2024. A levy that scales with transaction value is, in effect, another small argument for selling fewer, bigger bookings.

Here is where the Hilton survey stops being a foreign document. Kenya does not need to forecast a micro-travel market, because it already has one, and it is the majority. The Tourism Research Institute's own 2024 report records 2,394,376 international arrivals, up from 2,089,259 in 2023. Of those, holiday and leisure accounted for 44.2 per cent, or 1,058,026 people. Business and conference travel took 26.9 per cent, 643,595 people. Visiting friends and relatives took 22 per cent, 526,071. Transit took a further 4.2 per cent.

Read that again from a revenue manager's chair. Fewer than half of Kenya's international visitors are on the product the country markets. More than half arrived for a meeting, a conference, a wedding or a funeral, and by definition they are short-stay, city-centred, activity-adjacent travellers who want to pack a great deal into a small window. They are the micro-travel mindset, already landed, already paying, and largely unserved by anything resembling a designed product. The source market table says the same thing in a different language: the United States led 2024 with 306,501 arrivals, but Uganda was second on 225,559 and Tanzania third on 203,290, ahead of the United Kingdom's 180,639. Two of Kenya's five biggest markets are its neighbours, and nobody flies from Kampala for twelve nights. In 2025, on ministry figures reported in April, Africa supplied 47 per cent of Kenya's roughly 2.7 million international arrivals, against 25 per cent from Europe.

The access data argues the same way. OAG published its Megahubs ranking on 16 September, and Istanbul took first place with connections to 337 destinations, Turkish Airlines holding 80 per cent of capacity there. London Heathrow slipped to second with a 6 per cent fall in potential connections. No African airport appears in the global top twenty. "The 2026 rankings reflect a global aviation landscape still recalibrating after significant disruption," said John Grant, OAG's chief analyst. For an East African operator the implication is unsentimental: the long-haul leisure guest who sustains the twelve-night circuit arrives expensively, late, and through someone else's hub, and every one of those frictions is a reason for them to choose a destination with a shorter runway to the first game drive. The regional and business guest has no such problem.

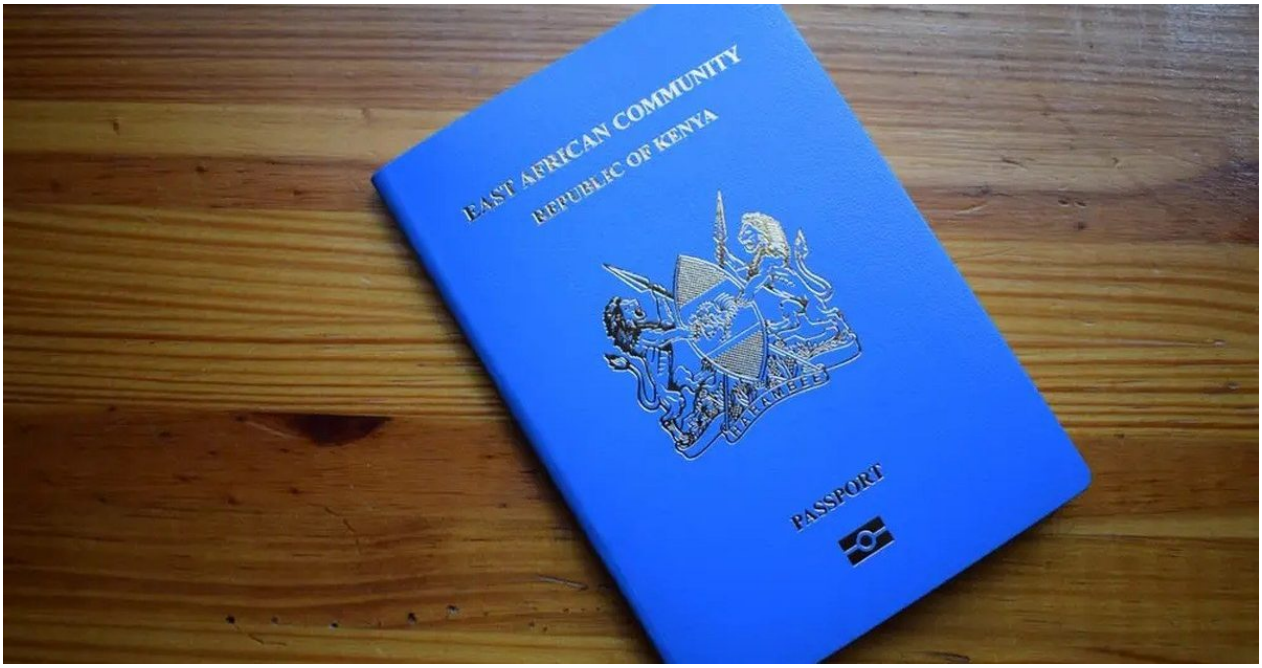
All of which makes the timing of Kenya's institutional reshuffle unfortunate. The Tourism Amendment Bill 2026 proposes dissolving the Tourism Research Institute and the Tourism Finance Corporation, folding research, market intelligence and statistics into an expanded Kenya Tourism Board. "Our position is not that institutions can never be consolidated," Fred Odek, chairman of the Kenya Association of Tour Operators, told Tourism Update in August. "The issue is making sure that, when you consolidate, you don't lose necessary functions." He warned of a data vacuum and asked for explicit protection of the institute's research databases through any transition. Barry Clemens, chief executive of Hospitality EQ, told the same publication that an expanded board risked "excessive concentration of power, conflicts of interest and weak accountability". The arrivals and

purpose-of-visit series published by that institute is the only reason this article can make its central claim with a straight face. Losing it at the moment the demand mix is shifting would be a peculiar kind of self-harm.

None of this means the circuit is finished. Two of Hilton's other four trends read like a description of assets East Africa already holds and systematically under-prices. Under the heading of wellness, 79 per cent of respondents said fresh air and the outdoors are essential to relaxation, 76 per cent said travel gives them a recharge unavailable at home, and 54 per cent said they spend more time in nature when travelling than at home. Under the heading of trust, 70 per cent said they treat hotel staff as a travel planning resource. A Kenyan or Tanzanian guide is the single most credible human being in that entire survey's worldview, and is currently sold as a line item inside a package rather than as the reason to come.

Mohammed Hersi, the Diani hotelier and chairman of the Diani Hospitality Owners Association, made the uncomfortable version of this argument in 2023, when the previous fee round was being debated. "Kenya is a midscale destination," he wrote. "We do attract a small bracket of high end visitors but trust me those numbers are not enough to sustain our tourism industry." He was writing about park fees, but the observation generalises. A product priced for the top of the market and sold in twelve-night blocks is a bet that the high-end long-stay segment grows faster than everything around it. Kenya's own arrivals mix says it is not.

The practical move is not to abandon the circuit. It is to stop treating the short, central, nature-dense, guide-led trip as a discount version of the real thing. That means a three-night product with its own cost model rather than a pro-rated one, honest about the gate fee as a separate line the guest can see, anchored on a single base instead of three, and sold on the guide rather than the itinerary. It means building for the conference delegate with a spare Saturday and the Ugandan family with a long weekend, who together already outnumber the safari guest. "Travellers are less interested in someone else's definition of perfection and more focused on planning travel on their own terms," Chris Nassetta, Hilton's chief executive, said on publication. He was selling a hotel estate. He was also, inadvertently, describing a gap in East Africa's shop window that its competitors can see perfectly well.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 3 OF 7 · 7 OCTOBER 2026

Kenya just won Africa's visa argument. Its own arrivals data says the border was never the barrier.

Kenya climbed from 46th to third on the Africa Visa Openness Index in a single year, the steepest reversal the index has recorded. Nearly a million Africans came anyway during the year it sat near the bottom and charged them $32.50 at the gate. What open borders actually deliver is visible in Rwanda's books, and it is not a lodge rate.

At the Pearl of Africa Tourism Expo in Kampala in late May, Kenya came to sell a number. The target was 300,000 Ugandan visitors in 2026, up 27 per cent on the 234,556 who crossed in 2025, and the pitch was built on access. Felix Mwangangi, Kenya Airways' country manager for Uganda, told the hall that "daily flights from Entebbe to Nairobi with onward connections to Mombasa are strengthening access to Kenya's coastal destinations." Frank Gisha, chief executive of the East Africa Tourism Platform, put a figure on the momentum: a 30 per cent increase in cross-border tourism since the pandemic period, driven by demand for weddings, MICE events and beach holidays.

Nine months earlier, the same proposition would have been harder to make. Kenya spent 2024 near the bottom of the continent's own scorecard on human movement, and the reversal since has been the sharpest the measure has ever recorded.

The Africa Visa Openness Index, published jointly by the African Development Bank and the African Union Commission, placed Kenya third of 54 countries in its 2025 edition, with a score of 0.962, its highest ever. A year earlier Kenya ranked 46th with a score of 0.113, having fallen 17 places. Only Rwanda and The Gambia now sit above it, sharing first place with perfect scores of 1.000 for offering visa-free entry to every African national. For a country that had become the index's cautionary tale, third place is a genuine policy win, and the industry has treated it as one.

The fall was self-inflicted and instructive. Kenya announced a visa-free Africa and then implemented it as an electronic travel authorisation, live from 1 January 2024, priced at $32.50 and requiring application at least three

days before travel plus proof of a hotel reservation. Travellers from countries that had enjoyed reciprocal visa-free arrangements with Nairobi suddenly needed an online permit. Margaret Monyani, senior migration researcher at the Institute for Security Studies in Pretoria, wrote in March 2025 that the system "became a bureaucratic obstacle, complicating travel for many," and that "ETA policies often acted as digital barriers to entry despite being framed as progressive." Kenya waived the requirement for most African nationals during 2025, keeping it only for Libya and Somalia on stated security grounds, and scrapped the fee and the entry forms with it. East African Community citizens retain six months; other Africans get two.

So the border is open, the scorecard says so, and the question nobody at the Kampala expo asked out loud is what it is worth.

Kenya's own statistics agency has already run the experiment. The Tourism Research Institute's performance report for 2024, the year the ETA was live and the year Kenya sat 46th, records 975,883 arrivals from African countries. That is 40.8 per cent of the 2,394,376 international arrivals Kenya logged, and it was an increase of 17.9 per cent on 2023. Uganda sent 225,559, Tanzania 203,290, Somalia 81,555, Rwanda 65,866 and Burundi 51,865. Nearly a million Africans travelled to Kenya in the worst year for Kenyan visa openness in the index's history, while being charged $32.50 and asked to file three days in advance. Whatever was constraining that flow, it was not the gate.

There is a second number in the same report that operators should hold next to it. Kenya's total bed-night occupancy in 2024 came to 9,992,721, up 16 per cent, of which 4,818,755 were international and 5,173,966 domestic. Set nearly 2.4 million international arrivals against 4.8 million international bed-nights and the average international visitor is accounted for by roughly two nights of recorded accommodation. The caveat matters: the bed-night series counts classified establishments, so a guest staying with family or in an unclassified room never appears in it, which is precisely why the gap is informative. The visitors the open border delivers in greatest volume are the ones least likely to show up as a sold night at all. An arrival is a border statistic. A bed-night is a revenue line, and the distance between the two is not something a waived permit closes.

That matters because of what replaces it as an explanation, and the cleanest available evidence sits across the border in Kigali. Rwanda has held a perfect openness score for years. If visa liberalisation were a demand lever, Rwanda is where the lever would have been pulled hardest and longest, and its 2025 receipts are now public. The Rwanda Development Board reported $685 million, roughly one trillion Rwandan francs, from 1.49 million visitors, up from 1.36 million in 2024. Itzhak Fisher, chairman of the RDB board, framed it as confirmation of "Rwanda's position as a leading destination for high value tourism and international events."

Read the composition rather than the headline and a different lesson appears. Gorilla tourism accounted for $248 million of that total, a permit-priced product sold overwhelmingly to long-haul visitors. Visiting friends and relatives accounted for $180 million, the second largest line. Business travel brought $112 million, MICE $94.7 million and education-related travel $64 million. Inflows were led by East African Community markets and the Democratic Republic of Congo. A decade of perfect openness has produced, on Rwanda's own accounting, a very large regional VFR and business book sitting alongside a small, dollar-denominated wildlife product that openness had nothing to do with.

Kenya's purpose-of-visit split in 2024 points the same way. Holiday and leisure accounted for 44.2 per cent of arrivals, business and conference 26.9 per cent, and visiting friends and relatives 22.0 per cent. The African 40.8 per cent is not distributed evenly across those buckets. The traveller who comes from Kampala or Dar es Salaam, now at zero border cost, is disproportionately the one attending a wedding, a conference, a trade fair or a funeral, staying with family or in a mid-market town hotel, paying in shillings, and buying no park permit at all.

That is a real market. It is simply not the market most of the sector's capacity and pricing was built for. Doris Makena, group sales and marketing manager at Jacaranda Hotels Kenya, reported a 17 per cent increase in business engagements off the back of the Kampala expo, which is exactly the kind of return the regional segment produces: volume, repeat, short lead time, thin margin. Margaret Masha, who handles sales and marketing for

Bamburi Beach, Southern Palms and Royal Zanzibar, works the same channel on the coast. Neither is selling a twelve-night itinerary at a long-haul rate, and the arithmetic of a two-night regional booking is not the arithmetic of the brochure.

The sharper risk is that the league table is read as a trend when it is an exception. The 2025 index average for the continent came in at 0.448, lower than each of the previous three years and barely above the 2021 reading. Visa-free travel scenarios did reach an all-time high of 814, or 28.2 per cent of the 2,895 possible country pairs. But scenarios requiring a visa before departure jumped to 1,463, or 51.1 per cent, up from 47.1 per cent in 2024, and visa-on-arrival fell to its lowest level on record at 20.4 per cent. Twenty countries changed policy in 2025; eleven improved and nine went backwards. The index itself calls the shift from visa-on-arrival to pre-travel authorisation "a step backwards on Africa's visa openness," and notes that the expansion of e-visas to 31 countries has prioritised security screening over facilitation.

Among the five countries that introduced new visa requirements for previously visa-free citizens in 2025 was Uganda, the single largest African source market Kenya was courting in Kampala. Kenya has opened unilaterally into a continent that is, in aggregate, tightening pre-clearance. Joy Kategekwa, who directs the regional integration coordination office at the African Development Bank, argues the case in the report's foreword that "a visa-free Africa is good economic policy." She is almost certainly right about the direction. An operator budgeting for 2027 still has to price the continent as it is, which is a patchwork in which a guest's ability to reach Nairobi depends on the passport in the drawer and on whether their own government went the other way last year.

What remains binding, once the gate is free, is the seat. Speaking at the Aviation Africa summit in Nairobi in September, Moses Mwangi, managing director of 748 Air Services, put it plainly: "Africa cannot have a truly integrated economy if it remains difficult or expensive to fly from one African city to another." Prime Cabinet Secretary Musalia Mudavadi used the same platform to note how many African travellers still route through non-African hubs, and restated Kenya's commitment to the Single African Air Transport Market. A waived $32.50 does not move a fare, and the Entebbe to Nairobi to Mombasa chain Mwangangi was selling in Kampala is a connection, with a connection's price and a connection's failure modes.

For operators the practical reading is narrow and worth saying plainly. Kenya's climb to third place is a real improvement in a real friction, and it should be welcomed, but it is not a demand forecast and it does not justify rebuilding a 2027 mix around it. The regional arrival it unlocks was largely already arriving. The segment it genuinely helps is short-stay, shilling-priced, event-led and family-led, which rewards a two-night package, a flexible cancellation window, a conference rate card and a mobile payment rail, not an extra long-haul rate tier. The yield question to put to a revenue manager this quarter is not how many more Ugandans arrived but what each one contributed per night, and whether the answer justifies the inventory held back for them in July.

There is also a defensive reading. The two-month ceiling on non-EAC African visitors, against six months for East African Community citizens, quietly sorts the regional market into two products: a short trip and a stay. The longer permission is the one that supports a repeat business guest, a contractor, a student's family or the slow-season resident rate that carries a city hotel through a thin April, and it is available only inside the bloc. An operator in Nairobi or Kigali selling to Lagos or Accra is selling into the shorter window, and should price and package for it rather than assume the openness score has made the two cases the same. Openness is measured at the gate. The commercial difference shows up in how long someone is allowed to stay once through it.

Rwanda's ledger is the honest preview. Ten years at the top of the openness table bought it a $180 million VFR book and a $112 million business book. Those are good businesses. They are not the business the brochure is selling, and the gap between the two is where the next three years of East African hospitality planning will either be won or quietly lost.



Photograph: Levi / The Independent

BIG READ 4 OF 7 · 8 OCTOBER 2026

Google stopped filling in your rate in September. East Africa's number now comes from the OTA.

Three changes in five weeks moved the decision about what price a traveller is shown away from the hotel and into the retrieval layer. The one country where a guest can now book inside the answer is also Kenya's largest single source market.

On Tuesday 8 September, Nick Fox, Google's senior vice president for knowledge and information, said something a platform executive almost never says in public about his own product. The company had just rebuilt its European search page to satisfy the Digital Markets Act, splitting travel results into one unit stacked with booking sites and a second, narrower unit for the suppliers themselves. Out of that second unit went the date filters, the descriptive tags and, most importantly, the live prices. "These changes degrade the user experience for Europeans," Fox said.

Three weeks later, with no complaint and no blog post, Google removed something considerably more consequential for a camp in the Mara or a beach hotel in Diani. On Wednesday 30 September, under a help-centre notice of a few hundred words, the third-party rates feature for hotel ads became unavailable. Until that date a property that had never built a rate feed in its life could still appear in Google's hotel surfaces with a price attached, because Google would source one on its behalf. After it, a hotel without its own live feed, delivered through a Hotel Center account or an approved connectivity partner, stops serving. "After this date, affected campaigns will stop serving ads across all Hotel Ads inventory," the notice reads. Campaigns cannot be migrated. A property has to pass a pricing accuracy review and build them again.

East African hospitality has spent most of a decade arguing about commission. It is the right argument and it has produced real results, from the parity prohibition now sitting unused in COMESA's 2025 regulations to the eighteen thousand European hotels assembling behind a damages claim in Amsterdam. But commission is a question about what a booking costs once it exists. The three changes of the past five weeks are about something prior and, for the region, more urgent: whether the number a traveller is shown is a number the hotel supplied at all.

The clearest evidence that the answer is now usually no comes from a small, carefully bounded experiment run in June. Nicolas Sitter, a researcher whose AI visibility platform Hotelrank.ai was acquired by Lighthouse in May, froze thirty hotel price prompts, ran each eight times through ChatGPT on 25 June from a United States proxy, and logged every document the model fetched rather than every document it displayed. Across 240 captures the model searched the live web in 98.8 per cent of cases and answered from memory in none of them. It pulled 3,092 documents. Online travel agencies accounted for 1,434 of those fetches, roughly 46 per cent, and were cited back to the user 154 times, a cite rate of 11 per cent, the lowest of any real source class in the study. Booking.com was the single most-cited domain, at 64 citations. Reddit was fetched fifty-one times and cited fifty-one times.

Sitter's summary of this is the sentence East African operators should read twice. "ChatGPT treats online travel agencies as price oracles to read from," he wrote, "not as the sources it shows you." The practical reading is that an OTA listing has become the canonical record of what a property costs, invisibly, whether or not the guest ever sees the OTA's name. Sitter is careful about the limits of his own work: 240 captures, one capture day, one proxy, English only, a snapshot rather than a trend. The direction is still hard to argue with.

Then, on 27 August, the second change. Google began completing hotel bookings inside AI Mode, in the United States and in English, with payment through Google Pay and the supplier or booking platform remaining merchant of record. Ten launch partners went live: Booking.com, Expedia, Hotels.com, Priceline, Trip.com, Choice, Hilton, IHG, Marriott and Wyndham. Five retailers and five global chains. No independent property, no regional platform, no African company of any kind.

Are Morch, who writes on hotel AI adoption, put the gap in four words on 1 September: "Visibility without bookability." His longer version is sharper. "The AI surfaces you, and someone else captures the transaction." For a Kenyan or Tanzanian independent, the chain of consequence is not complicated. The lodge can be recommended inside the answer. It cannot be transacted inside the answer except through one of the ten, which in practice means through an OTA, at the OTA's gross price, with commission already inside the number the guest reads.

This is where the geography stops being abstract. Kenya's Tourism Research Institute recorded 2,394,376 international arrivals in 2024, up 14.6 per cent on the year before. The largest single source market was the United States, at 306,501 arrivals and 12.8 per cent of the total, ahead of Uganda, Tanzania and the United Kingdom. The one country in the world where a traveller can presently complete a hotel booking inside Google's AI answer is the country that sends Kenya more visitors than any other. Europe, by contrast, has just had live prices taken out of its supplier unit, which pushes rate discovery back towards the aggregator block and towards Maps, a click away. Italy and Germany together supplied another 7.5 per cent of Kenya's 2024 arrivals. Two of the region's three most valuable long-haul markets changed their price-display mechanics in the same five weeks, in opposite directions, and neither change was announced to anyone in Nairobi.

The concentration data suggests the independents were already losing before any of this. Research presented by Blake Reiter, Lighthouse's director of hospitality research, at the company's Luminate conference and published in June ran 4,545 ChatGPT prompts across nine destinations and five traveller personas. The model named hotels 49,707 times, but only 2,721 unique properties. Around 10 per cent of Tokyo's hotels and 13 per cent of Paris's were surfaced at all. In Indianapolis, independents took 6.5 per cent of mentions. Eighty-two per cent of cited sources were OTA, metasearch or editorial sites. The study is vendor-authored, by a company that sells AI visibility tools, and should be read with that in mind. Its nine destinations spanned the United States, Europe and Asia Pacific. Not one was in Africa.

Sitter's wider landscape study, published in January from 19,579 AI runs across twenty-five cities, did include two African cities, Cairo and Cape Town. The reported Cairo breakdown is the uncomfortable one: 18 per cent of hotel links went to independents and 42.4 per cent to OTAs. In Tokyo the independent share was 75 per cent, in London and Paris 69 per cent. Whatever is happening in those numbers, and city-level samples are thin, no East African city was tested at all. The region is not losing a visibility contest. It has not been entered in one.

It would be easy to read all of this as another instance of a familiar grievance, and wrong. The striking feature of the 30 September change is how cheap compliance is. A rate feed is a configuration job, not a capital project. Hotel Center is free. The connectivity layer already exists in the region: HotelOnline, founded in Nairobi, works with more than six thousand hotels and hospitality businesses across twenty-seven African countries and is an approved property management system provider in Zanzibar. The expensive fight, over commission and parity, requires a competition regulator, a claims foundation and several years. The decisive one, over whether your own number reaches the machine, requires an afternoon.

Anton Gillis, co-founder and chief executive of HAMAC and formerly chief executive of Kruger Gate Hotel, made the structural version of this point in Business Daily on 20 August, before any of the September changes. Kenyan tourism, he wrote, remains "one of the least digitally mature parts of the economy," a sector whose national statistics can report half a trillion shillings in earnings and yet "still cannot tell you with any confidence how well its hotels are pricing a Tuesday in April." His conclusion was about ambition rather than software. "A country cannot credibly target ten percent of GDP from a sector it has left off its own AI roadmap."

Two qualifications matter, and an operator who ignores them will overcorrect. The first is that the 30 September withdrawal is a paid-media rule. Google's notice concerns Hotel Ads inventory and Performance Max for Travel Goals campaigns, and does not state that free booking links are affected. Where a property's fed rate will surface organically in Europe after the DMA rebuild, Google has not said. The second is segmental. The bush product that carries East Africa's margin is still largely sold through tour operators on contracted rates nine to twelve months forward, which insulates a Serengeti camp from the shopping surface in a way it does not insulate a Mombasa or Nairobi city hotel selling independent travellers at thirty days out. The first-order exposure here is the beach and urban FIT book. The second-order exposure, which arrives later and is harder to see, runs through the operators' own visibility.

Google has published figures suggesting its earlier European changes cut free direct booking clicks for suppliers by as much as 30 per cent, and that a test in Germany, Belgium and Estonia cost hotels more than a tenth of their traffic while booking sites held flat. Those numbers come from Google, in the middle of a regulatory fight, and no one has verified them independently. They are worth noting precisely because they are self-serving: the company's own account of its own compliance is that suppliers lost traffic and intermediaries did not.

Which leaves the question a Kenyan hotelier can actually answer this week. Not what Booking.com charges, which is known, contested and slow to change. The question is narrower and entirely within reach: when a traveller in Denver asks a machine what a room at your property costs in February, where does the number come from, and did you write it.



Handout: Ministry of Health, Kenya - editorial use

BIG READ 5 OF 7 · 9 OCTOBER 2026

Kenya has one Ebola case and two contagions. Only one of them is a virus.

A single imported infection, confirmed on the opening day of Magical Kenya Travel Expo, carries almost no epidemiological risk to visitors and a great deal of commercial risk to the people who host them. The difference is worth understanding before the next one.

On Wednesday morning in Nairobi, Rebecca Miano stood in front of roughly ten thousand delegates at the opening of the sixteenth Magical Kenya Travel Expo and told them that the country was watching. "No effort, and no level of vigilance, will be spared," the Tourism and Wildlife Cabinet Secretary said, adding that her ministry was "working in close coordination with the Ministry of Health to ensure that all precautionary measures are in place." Her set-piece speech was meant to be about digital transformation and artificial intelligence in tourism, which was the expo's theme. It had become, in the space of about thirty-six hours, a speech about a virus.

The day before, on 6 October, the Ministry of Health had confirmed Kenya's first case of Ebola. Samples from a Kenyan citizen who had died in a Nairobi isolation ward on the night of 5 October tested positive for Bundibugyo virus at the National Virology Reference Laboratory and at the Kenya Medical Research Institute. According to the World Health Organization's Regional Office for Africa, which published the timeline the same day, the man had been living in the Democratic Republic of the Congo, fell ill there, was treated at several facilities, travelled by road through Beni to Kampala on 2 October, flew to Nairobi on 3 October, and was taken from the airport to hospital and isolated. Twenty-eight contacts were listed immediately, including family members and the health workers who had cared for him. Twenty-three passengers and four crew from the same flight were being traced. By 7 October, Public Health Principal Secretary Mary Muthoni put the number of traced contacts at fifty-seven, with ten in quarantine at the National Police Service Hospital.

So the sequence, from the point of view of a lodge owner in the Mara or a general manager in Zanzibar, is this: a very sick man crossed two borders, was intercepted on arrival, was isolated before the disease had even been identified, died, and was buried under Kenya's safe and dignified burial protocol. Every institution that exists to

catch exactly that chain of events caught it. Dr Mohamed Janabi, the WHO Regional Director for Africa, put it in one line in the organisation's own release: "Health emergency preparedness gives us a head start." Kenya's Ebola preparedness score, by WHO's assessment, had risen from 66 per cent in May to 82 per cent in July. More than 652,000 travellers had been screened at entry points before this man arrived at one of them.

Then look at what the official machinery did next, because this is the part the industry tends not to read. WHO's statement says plainly that the organisation "advises against any restriction of travel to, or trade with" the DRC, Uganda or Kenya, on the basis of currently available information. The US Centers for Disease Control and Prevention, which maintains travel notices for this outbreak, lists Level 4 "avoid all travel" for Ituri and Nord-Kivu, Level 3 for Haut-Uele and Tshopo, and Level 2 for the DRC and Uganda overall. For Kenya it lists nothing at all. Britain's Foreign Office updated its Kenya advice on 7 October to record that "on 6 October 2026, the Kenyan Ministry of Health confirmed its first imported case of Ebola," to note the contact tracing, surveillance and border screening under way, and to tell travellers to follow local guidance and expect enhanced screening if arriving from Uganda, Ethiopia or the DRC. It imposed no restriction. The Foreign Office's existing advice against travel to Mandera, parts of Wajir and Garissa and most of Lamu remains what it has always been, which is a security judgement and has nothing to do with this.

In other words: no government has told anybody not to come to Kenya. Several Kenyan headlines nonetheless ran the two things together, and that conflation is the actual story.

Consider the comparison that almost nobody in East African tourism has made this week. Kenya is the fourth country to confirm Bundibugyo virus disease in this outbreak. The third was France. In June, a doctor working with the Alliance for International Medical Action boarded a commercial flight out of Kinshasa while almost asymptomatic, apart from headaches, deteriorated during the flight, and was isolated on landing in Paris before the disease was formally identified. The European Centre for Disease Prevention and Control assessed the risk to European residents as low. No country advised its citizens against travel to France. No French hotel association spent June briefing embassies. Tedros Adhanom Ghebreyesus, the WHO Director-General, said at the time that countries "shouldn't overreact," and on this occasion they did not.

WHO's own risk tiering, reassessed on 14 August, grades the risk as very high inside the DRC, high for countries sharing a land border with the DRC, and low for the rest of the African region and globally. Kenya does not share a land border with the DRC. By the WHO's own geography, Kenya sits in the same risk band as Britain and Belgium, and a tier below Uganda and Rwanda. Yet it is Kenyan operators, not French or Belgian ones, who spent Wednesday and Thursday answering emails from trade buyers asking whether the season was still on.

That asymmetry is not a grievance. It is a forecastable commercial fact, and East African operators already have the data to forecast it, because this exact thing happened four months ago when Kenya had no cases whatsoever.

In June, with the DRC outbreak growing and Uganda's own cases in the news, the Kenya Association of Travel Agents convened in Mombasa and its members reported what was described as a mounting surge of booking cancellations. Those cancellations came from high-value North American and European source markets, including adventure and wildlife clients heading for Nanyuki. Tourism Principal Secretary John Ololtua had to stand up and state that Kenya was Ebola-free, which at the time was true, and to explain that intensified surveillance at ports of entry was a sign of health security rather than evidence of a threat. June Chepkemei, chief executive of the Kenya Tourism Board, asked journalists to prioritise factual and contextual reporting over sensationalism. The sector's response was to brief embassies with verified epidemiological data, to equip travel agents with talking points, and to move marketing budget into crisis communication.

Read that again. Kenya lost bookings in June to a disease it did not have. The transmission channel was never biological. It was informational, and it ran through intermediaries: the agent, the tour operator's risk committee, the corporate travel manager, the conference organiser's insurer. Those actors do not grade risk by health zone. They grade it by country, because country is the only field their systems have.

Which is why the epidemiological reassurance that the sector instinctively reaches for, while entirely accurate, is

aimed at the wrong audience. Virginia Messina, chief executive of the African Travel and Tourism Association, made the correct points this week, and made them well. "Ebola is not an airborne disease," she said, and "the rapid identification and monitoring of contacts following this case demonstrates the importance of those preparedness measures." Simon King, who led ATTA sessions earlier this year on handling client concerns about Ebola, offered the single most useful sentence available to anyone selling East Africa right now: in fifty years of public records, he said, "there has never been a recorded case of a leisure traveller contracting Ebola during ordinary travel." Every documented international case, he noted, involved healthcare workers, caregivers, burial teams, patient transporters, humanitarian responders, or people working directly inside outbreak settings. The man who died in Nairobi had been living in the DRC for years and had been ill for roughly a month.

All of that is true, and almost none of it will be read by the person who actually cancels. The guest who is nervous can be reassured by a lodge. The buyer who is nervous cannot, because the buyer is not making a judgement about Ebola at all. The buyer is making a judgement about whether an incident in Kenya creates a liability for their firm, and they will resolve that judgement with whatever document is closest to hand. If the closest document is a newspaper headline, the booking moves to Botswana.

So the practical conclusion for an East African operator is narrower and less comforting than "Kenya is safe." It is that the asset worth defending this quarter is the explanation, not the destination, and that the explanation has to be built for intermediaries rather than for guests.

Three things follow. First, the document that matters is a dated one-page brief that cites WHO AFRO's 6 October release and the Ministry of Health directly, rather than a paragraph of a lodge's own reassuring prose, because a risk desk will accept a citation and discount an assertion. Second, the commercial instrument that matters is a generous date-change term rather than a refund, because the June episode showed the decision being made by the buyer and not the traveller, and a buyer who can defer rather than cancel usually will. Third, the operational detail that matters is a written account of what screening and health protocol a property actually has, because corporate travel and conference business is the segment with the most formal risk procedure and therefore the segment that moves first and returns last. Kenya recorded 2.7 million international arrivals in 2025 alongside 5.2 million domestic trips, and Sh500 billion in earnings, and it enters the October to December window with the whole of that exposed to a decision cycle that begins in a compliance inbox.

There is one more thing, and it is the uncomfortable part. Kenya's preparedness score went up and its commercial exposure went up in the same quarter, and they went up for the same reason. A country that detects an imported case in a day, confirms it in two laboratories, notifies WHO under the International Health Regulations and publishes the patient's route is a country that has just handed the world's travel-risk systems a dated, searchable, country-level event. France, which did the same thing in June, paid nothing for it. Tedros said this week that "transparency should be rewarded, not punished." He is right, and it is not. Until that changes, East African operators should treat the reputational cost of good public health reporting as a known line item, prepare the paperwork before the next case rather than after it, and stop being surprised by the only part of an Ebola scare that has ever reached them.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 6 OF 7 · 10 OCTOBER 2026

Europe spent six years learning to count its beds. Kenya is proposing to abolish the office that counts.

The Tourism (Amendment) Bill, 2026 would fold the Tourism Research Institute into the Kenya Tourism Board, moving statistics into a marketing agency in the same year the tourism levy missed its target by a billion shillings because nobody has counted the short-term rentals it was meant to cover. Kenya's headline arrivals figure this month came from the Government Delivery Unit, not from the institute with the statutory mandate to count.

Eurostat published a number on 2 October that no East African statistics office could currently produce. Guests spent 258.8 million nights in short-term rental accommodation across the European Union between April and June, booked through the largest online platforms. That was 5.3 per cent more than the same quarter of 2025, an increase of 13.1 million nights, and roughly 50 million nights more than the same quarter of 2024, almost a quarter higher in two years. Growth had slowed from the 10 per cent recorded in the first quarter, which is itself a finding only a series can deliver.

The figure is not a model, a trade-body projection or a survey grossed up to a national total. It is a count. It exists because Airbnb, Booking, Expedia Group and Tripadvisor each signed an agreement with Eurostat in March 2020 to supply the number of nights booked and the number of guests, grouped by municipality, on a continuing basis, for Eurostat to validate and aggregate. Six years later that signed arrangement has a legal floor beneath it: Regulation (EU) 2024/1028, on data collection and sharing relating to short-term accommodation rental services, was adopted on 11 April 2024 and came into force on 20 May 2026. The European Commission's own framing of why it was needed is blunt about the problem it solves, that the absence of a unified approach "has made it difficult for local governments to regulate STRs effectively".

Four days after that Eurostat release, on 6 October, Kenya's headline tourism number ran in The Star. International arrivals had reached 2,792,875 as of June 2026, up 88 per cent from 1,483,752 in 2022. Industry earnings had risen 110 per cent, from Sh268 billion to Sh564 billion. Hotel bed occupancy had moved from 6,692,820 to 11,556,200. The numbers were attributed to the Government Delivery Unit. They were not

attributed to the Tourism Research Institute, the body whose statutory mandate is to collect and analyse tourism statistics nationwide and to establish a tourism data portal.

That attribution is not a clerical detail. It is a preview of what Kenyan hospitality data looks like when the institution that produces it is reorganised out of the way, and the Tourism (Amendment) Bill, 2026 proposes exactly that. Bill No. 41 of 2026, sponsored by the Leader of the Majority Party, Kimani Ichung'wah, had its first reading on 2 July. Among its provisions, the functions, assets and liabilities of the Tourism Research Institute would transfer to the Kenya Tourism Board, ending the institute as a separate entity, with its pending licences and applications moving across and its staff deployed to the Public Service Commission. The Bill also widens the Tourism Fund's mandate to cover product development, events, marketing and branding, safety, research, data, training and matching grants with counties, and routes the Air Passenger Service Charge into it.

The Ministry of Tourism presents this as overdue housekeeping. "We therefore need to amend and modernise the law so that it reflects the realities of the sector today," the Cabinet Secretary, Rebecca Miano, told the National Assembly's Departmental Committee on Tourism and Wildlife on 20 August. The Principal Secretary, Julius Bitok, described the collection model the ministry wants: "We are borrowing the approach underpinned by the Public Finance Management Act where KRA collects money." Separate collection from management, the argument runs, and oversight improves.

The committee did not buy the research clause. Its chairperson, Kareke Mbiuki, the Maara MP, put the obvious question to the ministry's officials at that same engagement. "What informed the planned merger? TRI is underperforming because it has been starved of funding," he said. He was equally direct about where the starving happens: "KTF has become a small god. Government entities have to kneel before it before they can disburse funds to institutions." Bitok, for his part, told the committee that the institute had underperformed because of financial constraints, and asked the MPs to ensure it was adequately funded, which is a curious position for the sponsor's ministry to hold about a body its Bill would dissolve. Mohammed Ruweida, the Lamu East MP, raised the staffing question nobody in the room answered: "Where will the staff at TRI go if the merger is actualised? We fear that they might lose their jobs." The Voi MP, Abdi Chome, and the committee's vice chairperson, Bedzima Juma of Kisauni, both argued for funding the institute properly and preserving its independence rather than placing it under the marketing board.

Industry landed in the same place by a different route. Fred Odek, chairman of the Kenya Association of Tour Operators, was careful not to defend institutional clutter for its own sake. "Our position is not that institutions can never be consolidated," he said. His association's concern is what gets lost in transit. KATO wants the institute's statistics, market intelligence, sustainability, carrying capacity and safety research explicitly preserved, and warns that moving research into the Kenya Tourism Board without clear systems for collecting, managing and sharing information would create a "data vacuum". Its proposal is structural rather than sentimental: a Tourism Research and Intelligence Directorate inside the board, a statutory National Tourism Data and Intelligence System, and explicit protection for the institute's existing databases and intellectual property through the transition. Barry Clemens, chief executive of Hospitality EQ, accepted the premise that there is a problem to solve, noting that "Kenya's tourism institutions have had overlapping responsibilities", while warning that one body holding research, marketing priorities and funding influence at once carries "a real risk of excessive concentration of power".

The reason operators should care is not institutional sentiment. It is that a marketing board and a research institute are built to different specifications, and measure to different standards. The Kenya Tourism Board's register is audible in its own statements. Its chief executive, June Chepkemei, speaking in that same 6 October report, described the Middle East push in terms of partnerships and targets: "These efforts have now been strengthened further, with KTB partnering with Emirates and Qatar Airways," with an ambition "to increase arrivals from the Middle East to 50,000 visitors". That is the right language for a destination marketing organisation. It is the wrong language for a national accounts function. A marketing board that owns the arrivals series has an institutional interest in the series rising, and no institutional interest in publishing the quarter it fell.

Mohammed Hersi, a director at Pollman's Tours and Safaris, made the point from the operating side in one line. "It is not always about growth. It is also about stability," he said. Stability is a statistical concept before it is a commercial one. You cannot see it in a percentage change against a 2022 base chosen for political reasons. You can only see it in a series long enough, granular enough and independent enough to show seasonality, length of stay, rate behaviour and the months that disappointed. The Government Delivery Unit's framing of arrivals, an 88 per cent gain on 2022, is a delivery metric. It tells a hotelier in Watamu nothing about what to charge in May.

And the cost of not counting is already on the books. The Tourism Fund collected Sh5.646 billion in tourism levy in the year to June 2026 against a target of Sh6.65 billion, a shortfall of roughly Sh1 billion, because, as Business Daily reported on 17 September, the regulations to bring Airbnb rentals, homestays and villas into the levy failed to take effect. Kenya is therefore attempting to tax, at 2 per cent, a segment of its own accommodation supply that it has never properly enumerated. The Tourism Fund's chief executive, David Mwangi, has previously told a meeting of North Rift Economic Bloc officials that more than 35,000 short-term rental operations had been flagged for failing to pay, urging "all hosts to know that they offer accommodation and as a result are required by law to register". A flag is not a census. Europe's answer to the same problem was a registration number, a platform reporting obligation and a statistical pipeline. Kenya's answer, so far, is a compliance appeal and a billion-shilling hole.

There is a working counter-example down the same coast. Zanzibar's Office of the Chief Government Statistician issued its tourism statistical release on 8 September, recording 124,481 international arrivals in August, up 18 per cent on August 2025 and 15.5 per cent on July, the highest month in a series running from January 2020. Cumulative arrivals for January to August reached 633,228, up 10.6 per cent. It published an estimated bed occupancy of 92.9 per cent, derived from 949,056 visitor nights against 1,021,853 available bed spaces, alongside an average intended stay of 7.6 nights, the share arriving through airports at about 92 per cent, and a source-market breakdown down to Russia's 376 per cent increase from a small base. That is monthly, operator-usable measurement from a jurisdiction with a fraction of Kenya's room stock and a statistics office that answers to nobody selling the destination.

None of this is an argument that Kenya's tourism agencies cannot be consolidated. Odek conceded that point before anyone asked him to. The argument is about what the consolidated body is legally obliged to publish, how often, and to what standard, and the Bill as drafted answers none of those questions. A merger that moves research into marketing without a statutory data mandate, a protected budget line, independent oversight of the statistics function and a defined publication calendar is not an efficiency. It is the removal of a check, carried out in the same year its absence cost the Tourism Fund a billion shillings.

The Bill is still at first reading. For an industry that spends every January arguing about whose arrivals number is right, that is the window, and the ask is narrow enough to fit in a committee amendment: keep the counting, fund the counting, and do not let the people who sell the destination be the only people who measure it.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 7 OF 7 · 11 OCTOBER 2026

Three central banks held their rates this week. The number that decides whether your lodge gets built was not one of them.

Kenya has cut its policy rate by 425 basis points and the average commercial lending rate has stalled at 14.4 per cent. Since 28 February every variable shilling loan has been priced off a common base rate, which means the whole of the difference between a hotel paying 11 per cent and one paying 18 per cent now sits in a premium each bank sets borrower by borrower. For East African hospitality, the cost of capital has stopped being a monetary story and become a documentation one.

The Central Bank of Kenya released its decision on a Wednesday afternoon in the flat institutional prose these documents always use. "The Monetary Policy Committee (MPC) decided to maintain the Central Bank Rate (CBR) at 8.75 percent," it read, and a little further down, reassuringly, "The banking sector remains stable and resilient, supported by adequate capital and liquidity buffers." The date was 7 October. The committee will not meet again until December.

Two days later in Dar es Salaam the Bank of Tanzania did the same thing at a different number. Governor Emmanuel Tutuba told reporters that "the 6.25 per cent Central Bank Rate is appropriate because it is continuing to dampen underlying inflationary pressures." Isabella Maganga, managing director of Equity Bank Tanzania, speaking for the bankers' association, supplied the expected verdict: "This translates to confidence and resilience of our economy." In Kampala the Bank of Uganda has been holding at 9.75 per cent, its governor Michael Atingi-Ego warning in August that "the risk that higher food, fuel, and other input prices will translate into a broad-based increase in inflation persists."

Three policy rates, three holds, one week. For an East African hotelier working out whether the twelve-room extension pencils, or whether the 2014 term loan can be refinanced before the shoulder season, not one of those numbers is the relevant one.

The relevant number is K, and almost nobody in the industry has read the document that created it.

Start with what Kenya's easing cycle actually delivered. The Central Bank Rate has come down by 425 basis

points. Treasury bill yields fell from almost 17 per cent to around 9 per cent. Private sector credit growth, which was running at minus 2.9 per cent in January 2025, reached 10.6 per cent in September. Non-performing loans fell to 13.9 per cent of gross loans in September, from 17.6 per cent in August 2025. Services receipts rose 8.7 per cent in the twelve months to August, which the central bank attributes mainly to travel. By every aggregate measure this is a loosening economy with a recovering tourism line.

Now look at the one number a borrower pays. The average commercial bank lending rate was 14.4 per cent in September. It was 14.3 per cent in August and 14.4 per cent in July. It was 17.2 per cent in November 2024. So roughly 280 basis points of a 425 basis point policy cut reached the average loan, and over the past quarter the average loan has not moved at all. It ticked up.

That is not a failure of transmission. It is the design.

Since 1 September 2025 for new loans, and since 28 February 2026 for every existing one, Kenyan banks have been required to price variable-rate shilling lending off a single common reference rate rather than their own internal base rates. The reference is the Kenya Shilling Overnight Interbank Average, KESONIA, a volume-weighted average of what banks charge each other overnight, published daily by the central bank and compounded over the interest period. The formula the Central Bank of Kenya set out when it issued the revised Risk-Based Credit Pricing Model is short enough to fit on a business card: the total lending rate equals KESONIA plus a premium, K. The total cost of credit equals KESONIA plus K plus fees and charges, the origination and processing and negotiation and commitment fees that hotel borrowers have historically discovered at signing.

Stella Situma, a partner in the banking, finance and projects practice at Cliffe Dekker Hofmeyr, put the consequence plainly in a client alert in June. "Pricing differentiation occurs through the 'K', which is determined by each bank and is specific to each borrower," she wrote. And on its size: "According to the Total Cost of Credit website, the K ranges from as low as 5.5% to as high as 14.5%." If KESONIA is unavailable, she noted, "borrowers have a fall back on the Central Bank Rate as the alternative reference rate," a provision she recommends writing into loan agreements as standard.

Read those two sentences next to each other and the architecture becomes visible. The base is now identical for every shilling borrower in the country. The premium is set privately, borrower by borrower, and the premium is wider than the base. Governor Kamau Thugge said the quiet part at the October briefing, without euphemism: "If you are perceived to be more risky, your interest rate will be higher."

What goes into K is the bank's cost of lending, its expected return to shareholders, and its assessment of the borrower's probability of default, judged on credit history, repayment behaviour, existing debts and security. Set a hotel against those four criteria and the exercise becomes uncomfortable.

Credit history and repayment behaviour, for a seasonal business, means a cash flow series that collapses twice a year by design. A lodge in the Mara earns the bulk of its year between July and October. A Zanzibar beach property earns it in two windows separated by the long rains. Nothing in a standard credit model distinguishes a seasonal trough from early distress, and the reform gives banks no instruction to make that distinction. Existing debts often means a facility written in a different rate era against a different valuation. Security means one illiquid asset in a thin market, which brings us to the part of K that no individual operator controls.

In August and September 2025, three Kenyan hotels were placed under receivership within a month of each other. National Bank of Kenya appointed a receiver and manager over Nairobi Upper Hill Hotel Limited on 18 August, over a debt reported at KSh 447 million arising from facilities dating back to 2014, and took control of the Nyakoe Hotel in Kisii the same month. On 9 September, Equity Bank appointed joint receivers over the Eastland Hotel in Kilimani. All three notices named practitioners from the same firm. "Notice is hereby given that Kamal Anantroy Bhatt, of Anant Bhatt LLP, was appointed as Receiver & Manager," the Upperhill notice read. Business Daily, surveying the wreckage that September, reported that banks had seized at least four hotels since January 2025, most of them three and four star properties.

Those receiverships are now more than a year old, and the sector has largely stopped discussing them. The credit models have not. A lender whose hospitality book produced three receiverships and a recovery process in one quarter carries that experience forward as a sector loss-given-default assumption, and that assumption sits inside the K quoted to the hotel down the road that never missed a payment. This is the mechanism by which a well-run property pays for its neighbour's 2014 borrowing decisions.

Here is where the reform cuts the other way, and where the opportunity sits. Because the base rate is now common, the dispersion between lenders is pure premium, and it is visible. Central bank data for March 2026 put Citibank's average lending rate at 10.80 per cent, Stanbic at 11.75 per cent and Standard Chartered at 12.87 per cent. At the other end, Credit Bank was at 18.57 per cent, Bank of Africa Kenya at 18.41 per cent and HFC at 17.65 per cent. The average across the system was 14.70 per cent. That is a spread of 777 basis points between the cheapest and the dearest bank in the same economy, lending in the same currency, off the same overnight reference.

Before February, an operator comparing two offers was comparing two different base rates plus two differently constructed margins, which is to say comparing nothing. Banks must now publish their weighted average lending rates, their weighted average premium and their fees and charges for each product, both on their own websites and on the Total Cost of Credit site the central bank and the Kenya Bankers Association maintain. On 8 October that site showed most lenders quoting against the Central Bank Rate at 8.75 per cent and the rest against KESONIA at almost exactly the same level, which is the point: the base has stopped being a variable. A hotelier who takes an afternoon with that site is not shopping for a rate. They are reading their own risk assessment back from four institutions and finding out which priced the seasonality least harshly.

Two structural asymmetries are worth naming. The first is that foreign currency loans are excluded from all of this. They continue to price off SOFR, the euro short-term rate and SONIA. A lodge that earns dollars and borrows dollars sits entirely outside the Kenyan reform. A lodge that earns dollars and borrows shillings, which describes a great deal of East African hospitality, has just had the base rate on its liabilities rewritten by regulation while the revenue side did not change. Fixed-rate loans are excluded too, which quietly makes a fixed-rate facility a different instrument than it was in 2024.

The second is that Kenya's expensive credit is not a regional constant. Tanzania held at 6.25 per cent this week with private sector credit growing at an average of 32.5 per cent in the quarter through September, and with Zanzibar's economy expanding 6.7 per cent in the first quarter and estimated above 7 per cent in the two that followed. Uganda's policy rate is higher than Kenya's at 9.75 per cent, but its rediscount rate is 12.75 per cent and its bank rate 13.75 per cent, which frames the ceiling differently. A group operating across two or three of these markets is making a financing decision as well as an operating one, and its cheapest balance sheet is not necessarily in the country with the lowest policy rate.

Which leaves the instrument almost nobody in Kenyan hospitality uses. The Tourism Finance Corporation, the state lender set up for exactly this sector, quotes a single rate across its whole product range: "Interest charge is 9.5% per annum on reducing balance." Its development loan runs to ten years with up to twelve months' grace, its expansion and refurbishment facility on the same terms, and, pointedly, it offers refinancing over ten years. Against a commercial average of 14.4 per cent that is roughly 490 basis points, and against the dearest lender in the March table it is nearly 900.

The terms explain the absence of a queue. A development or refurbishment applicant must bring at least 30 per cent of total project cost, with at least 10 per cent of that in liquid resources, plus the title document for the proposed security, a 1.5 per cent appraisal fee with a KSh 50,000 minimum, and a 1 per cent commitment fee, both non-refundable. That is a demanding ask for a property that has spent three years rebuilding working capital. It is a considerably less demanding ask than 18.57 per cent.

None of this is what the sector will discuss this week. The trade conversation will be about arrivals, about the shoulder season, about whether the short rains behave. But the easing cycle is over in Kenya for now, the

committee does not sit again until December, and the central bank has in the meantime handed every borrower a published, comparable, negotiable number and said plainly that it reflects how risky the lender thinks they are. The cost of capital in East African hospitality is now less a question of what the governor decides than of what the credit file says. That is the harder problem and the more tractable one. It can be worked on in October, which the MPC calendar cannot.

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